

# The Freelance Handbook

*Pricing, proposals and retainers for independent designers and developers.*

Forge Digital

# Contents

Introduction: The job behind the job

Chapter 1 — Know your floor

Chapter 2 — Price the outcome, not the hours

Chapter 3 — The discovery call

Chapter 4 — Proposals that close

Chapter 5 — Contracts and payment terms

Chapter 6 — Retainers: getting off the project treadmill

Chapter 7 — A pipeline that survives slow months

Chapter 8 — Staying booked without burning out

Appendix A — Proposal template

Appendix B — Change note and retainer templates

Appendix C — Rate worksheet

# Introduction: The job behind the job

You were hired for your craft, but you get paid because of three other skills: setting a price, winning the work, and keeping the relationship going. Most freelancers learn these by losing money. This handbook is the short version of those lessons, written so you can apply each chapter to your next client conversation.

It is deliberately practical. Every chapter ends with a checklist you can use today. The templates in the appendix are plain text so you can paste them into your own email, document or invoicing tool.

A note on numbers: the figures used in examples are illustrations, not market rates. Your rates depend on your field, location, experience and clients. The methods work at any price level.

# Chapter 1 — Know your floor

Before you can price value, you need to know the lowest rate at which freelancing is still worth it for you. This is your floor. You should almost never quote at your floor, but you must never go below it.

**Step 1: Your yearly target.** Add up what you need for a year: personal salary, taxes, health insurance, retirement savings, software, hardware, accountant, workspace, training, and a buffer for slow months. Freelancers routinely forget the last four.

**Step 2: Your real billable hours.** A year has about 52 weeks. Remove holidays, sick days, and public holidays and you may have around 44 working weeks. Of a 40-hour week, a realistic share is billable — often 50 to 65 percent. The rest goes to sales, admin, email, invoicing and learning.  $44 \text{ weeks} \times 40 \text{ hours} \times 60\% \approx 1,056 \text{ billable hours}$ .

**Step 3: Divide.**  $\text{Yearly target} \div \text{billable hours} = \text{floor hourly rate}$ . If your target is 90,000 and you have 1,056 billable hours, your floor is about 85 per hour. Anything below that means you are subsidising your clients.

**Checklist:** write your yearly target; write your realistic billable hours; calculate the floor; save it somewhere you will see it before every quote.

## Chapter 2 — Price the outcome, not the hours

Hourly billing punishes you for getting faster and makes clients nervous about every extra hour. Project and value pricing fix both problems, but only if you understand what the work is worth to the client.

**Ask about the result.** In your first call, ask: What happens if this project goes well? What does it cost you if it doesn't happen? How will you measure success in six months? A new checkout flow that lifts conversion by one percent may be worth far more to a shop than the hours it takes to build.

**Anchor on value, quote from confidence.** A useful rule of thumb is to price at a small fraction of the value you expect to create — often somewhere between 10 and 20 percent — while staying well above your floor. If the value is unclear or small, fall back to a fixed project price based on estimated hours  $\times$  a rate comfortably above your floor, plus a contingency of 15 to 25 percent.

**Offer three options.** Present a lean, a recommended, and a premium version of the project. The lean option protects the budget-conscious client; the premium option makes the middle feel reasonable; most clients choose the middle. Each option should differ in outcome, not just in hours — for example, adding user testing or a launch support period.

**Never discount without removing scope.** If a client pushes back on price, ask which parts of the scope they would like to remove. Dropping the price for the same work teaches the client that your first number was not real.

**Raise rates on a schedule.** Review your rates every six months. New clients get the new rate immediately; existing clients get 30 to 60 days' notice.

**Checklist:** three value questions for every discovery call; one fixed price per option; a written contingency; a date in your calendar for the next rate review.

## Chapter 3 — The discovery call

The proposal is won or lost before you write it. A 30-minute discovery call tells you whether the project is a fit and gives you the language to use in the proposal.

**Structure the call.** Spend the first five minutes on context (the business, the team), fifteen on the problem (what's broken, what they've tried, what success looks like), five on constraints (budget range, deadline, decision-maker), and five on next steps.

**Always ask about budget.** A simple phrasing: 'Projects like this usually range from X to Y depending on scope. Where do you expect to land?' If they won't give a number, offer the range and watch the reaction.

**Qualify the decision.** Ask who else needs to approve the project and when they plan to decide. If the person on the call cannot say yes, ask for a short follow-up with the person who can.

**Red flags:** no budget at all, a deadline that is already impossible, 'we just need a quick...', a request for free sample work, and several previous freelancers who 'didn't work out'. You can still take these projects — but price the risk.

**Checklist:** an agenda sent before the call; notes in the client's own words; budget, deadline and decision-maker confirmed; proposal date agreed before you hang up.

# Chapter 4 — Proposals that close

A good proposal is short, uses the client's own words and makes the decision easy. It is a sales document, not a legal one — the contract comes afterwards.

- 1. The situation.** Two or three sentences describing the problem as the client described it. If they read it and think 'yes, exactly', you've already done most of the work.
- 2. The outcome.** What will be true when the project is done. Make it measurable when possible.
- 3. The approach.** The phases of the work, in plain language, with what the client receives at the end of each phase.
- 4. The options and investment.** Your three options with a fixed price each. Call it 'investment', mark your recommended option, and list what is not included.
- 5. Timeline.** Start date, key milestones and what you need from the client to hit them (content, feedback within two working days, access).
- 6. Next step.** One clear action: 'Reply with the option you'd like and I'll send the agreement and first invoice.' Include an expiry date — 14 days is common — so the proposal doesn't sit forever.

**Send it fast.** Deliver within 48 hours of the call, while the problem is fresh. Better still, walk the client through it on a short call instead of only emailing a PDF.

**Follow up twice.** If you hear nothing, follow up after three working days and again after a week. After that, send a polite close-out: 'I'll assume the timing isn't right and close this for

now.' This often gets the reply the first two didn't.

**Checklist:** client's words in the situation section; three priced options; exclusions listed; expiry date; follow-ups in your calendar.

# Chapter 5 — Contracts and payment terms

A contract protects the relationship as much as the money. It makes expectations explicit so disagreements become easy conversations instead of arguments. This chapter is not legal advice; have a local lawyer review your standard agreement once, then reuse it.

**What every agreement should cover:** scope and deliverables (reference the proposal); number of revision rounds; timeline and client responsibilities; fees and payment schedule; late payment terms; ownership and when rights transfer (usually on full payment); confidentiality; how either side can end the agreement; and what happens to work in progress if they do.

**Deposits.** Take 30 to 50 percent before starting. The deposit filters out unserious clients and funds your time. For long projects, bill by milestone rather than all at the end.

**Payment terms.** Net 14 is reasonable for small businesses; larger companies may insist on Net 30 or more — price that in. State a late fee and actually apply it, politely.

**Scope changes.** When a new request arrives, respond with a short change note: what's being added, its price and the effect on the timeline. Get a written 'yes' before starting. Scope creep is rarely malicious; it happens because nobody said 'that's extra'.

**Checklist:** one reviewed contract template; deposit before work begins; milestone invoices; a change-note template ready to send.

## Chapter 6 — Retainers: getting off the project treadmill

Project work means constantly finding the next project. Retainers — a recurring monthly fee for ongoing work or availability — smooth your income and deepen client relationships.

**Three retainer models.** (1) *Hours bank*: the client buys a fixed number of hours per month. Simple, but still ties income to time. (2) *Deliverables retainer*: a defined set of outputs each month, e.g. four landing pages or a monthly performance report. (3) *Access retainer*: the client pays for priority access to your expertise — strategy calls, reviews, quick answers — rather than a fixed volume of work. The third is the most valuable and the hardest to sell early on.

**When to propose one.** The best moment is at the end of a successful project, when the client has seen the results and there is follow-up work. Ask: 'What happens after launch? Who will maintain and improve this?'

**Set the rules.** Define what's included, the response time, whether unused hours roll over (usually no, or only for one month), the minimum term (three months is a good start), and the notice period to cancel (30 days).

**Price it for commitment.** Retainers give the client priority and continuity, so they should not be cheaper than your project rate. A small discount for a longer commitment is fine; a big discount for predictable income is a trap.

**Report monthly.** Send a short summary each month: what you did, what it achieved, what's next. Retainers end when clients stop noticing the value — make it visible.

**Checklist:** one retainer offer written down; a post-project conversation scheduled for every good client; monthly report template.

## Chapter 7 — A pipeline that survives slow months

Feast-and-famine happens when you only look for work when you have none. The fix is a small amount of marketing every week, even when you're fully booked.

**Keep a simple pipeline.** Track leads in five stages: contacted, discovery call, proposal sent, won, lost. A spreadsheet is enough. Review it every Friday.

**Warm first.** Most freelance work comes from past clients and referrals. Every quarter, send a short, useful note to past clients — an idea for their business, an article, a result from a similar project. Ask happy clients directly: 'Who else do you know who has this problem?'

**Show your thinking.** Publish something small and specific regularly: a case study, a teardown, a short post about a problem you solved. Specific beats frequent.

**Keep a buffer.** Aim to keep three months of expenses in a separate account. The buffer lets you turn down bad-fit projects, which is the single biggest upgrade to your freelance life.

**Checklist:** a pipeline sheet; a weekly 60-minute marketing block; a quarterly past-client email; a savings target for your buffer.

## Chapter 8 — Staying booked without burning out

Being fully booked is not the goal; being sustainably booked is. Burnout is expensive: it costs projects, quality and referrals.

**Cap your capacity.** Decide the maximum number of active projects you can run well — often two or three — and keep a waitlist instead of stacking more. A waitlist also signals demand, which supports your pricing.

**Protect deep work.** Batch calls into two or three afternoons per week. Keep mornings for focused work. Tell clients your communication hours in the contract.

**Plan time off in advance.** Put holidays in your calendar at the start of the year and tell clients a month before. Price them in — they are already part of your floor calculation from Chapter 1.

**Fire clients kindly.** If a client consistently pays late, disrespects boundaries or drains you, finish the current phase professionally and refer them elsewhere. Their slot is better used for a client who fits.

**Checklist:** a written capacity limit; call days defined; next holiday booked; one client relationship reviewed honestly.

# Appendix A — Proposal template

**Subject:** Proposal — [project name] for [client]

**The situation.** [Client] wants to [goal]. Today, [problem in their words], which means [cost of the problem].

**The outcome.** By [date], [client] will have [deliverable], so that [measurable result].

**Approach.** Phase 1 — [name]: [what happens], you receive [deliverable]. Phase 2 — [name]: ... Phase 3 — [name]: ...

**Options.** Essential — [scope] — [price]. Recommended — [scope + extra outcome] — [price]. Complete — [scope + extras] — [price].

**Not included.** [e.g. copywriting, stock licenses, hosting costs].

**Timeline.** Start [date]. Milestones: [dates]. To stay on schedule I'll need [content/access] by [date] and feedback within two working days.

**Next step.** Reply with the option you'd like and I'll send the agreement and deposit invoice ([x]%). This proposal is valid until [date].

## Appendix B — Change note and retainer templates

**Change note.** Hi [name] — happy to add [request]. It's outside the current scope, so here's what it involves: [short description]. Price: [amount]. Timeline impact: [+x days / none]. Reply 'approved' and I'll schedule it in.

**Retainer offer.** Hi [name] — now that [project] is live, the next wins are [idea 1] and [idea 2]. I'd suggest a monthly retainer: [what's included], response within [x] working days, a monthly report, and a strategy call. Investment: [amount]/month, three-month minimum, then month-to-month with 30 days' notice. Want me to send the details?

**Close-out follow-up.** Hi [name] — I haven't heard back about the proposal, so I'll assume the timing isn't right and close it on my side for now. If things change, just reply to this email and we'll pick it up.

**Late payment reminder.** Hi [name] — a quick reminder that invoice [number] for [amount] was due on [date]. Could you let me know when it's scheduled? As per our agreement, a late fee of [x] applies after [date]. Thanks!

## Appendix C — Rate worksheet

Fill this in with a pencil, then recalculate every six months.

A. Personal yearly income target: \_\_\_\_\_

B. Taxes and social contributions (estimate with your accountant): \_\_\_\_\_

C. Health insurance, retirement savings: \_\_\_\_\_

D. Business costs — software, hardware, workspace, accountant, training: \_\_\_\_\_

E. Buffer for slow months (10-20% of A-D): \_\_\_\_\_

**Yearly target (A+B+C+D+E):** \_\_\_\_\_

F. Working weeks per year (after holidays and sick days):  
\_\_\_\_\_

G. Hours per week  $\times$  billable share (e.g.  $40 \times 0.6$ ): \_\_\_\_\_

**Billable hours (F  $\times$  G):** \_\_\_\_\_

**Floor rate (Yearly target  $\div$  Billable hours):** \_\_\_\_\_

Minimum day rate (floor  $\times$  billable hours per day): \_\_\_\_\_

Minimum project price = estimated hours  $\times$  floor  $\times$  1.2 contingency: \_\_\_\_\_

Remember: this is the floor. Quote from the value of the outcome, not from this number.